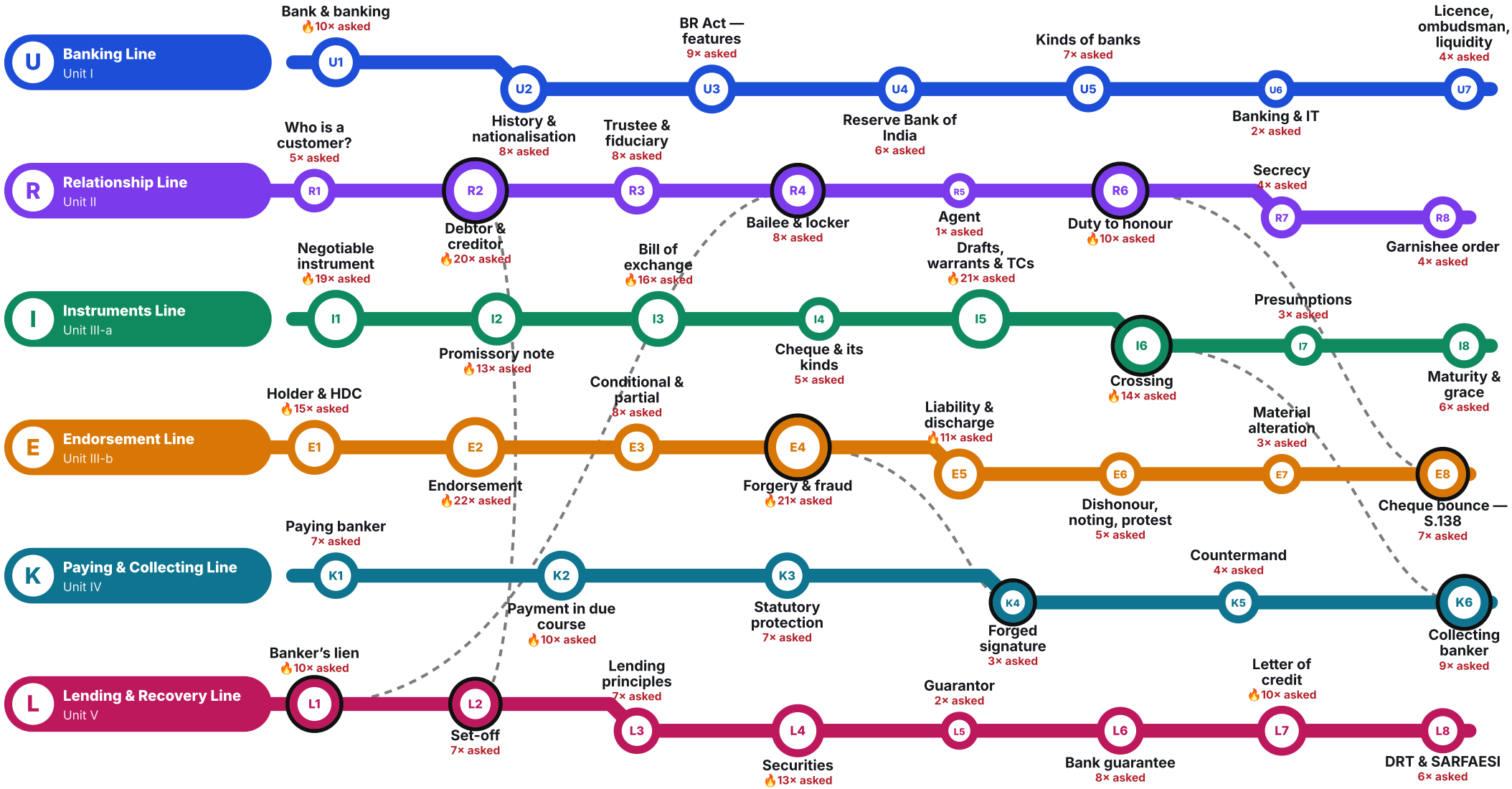
Nyaya Metro — Banking & NI Act

Law of Banking & Negotiable Instruments · BR Act 1949 · NI Act 1881 · SARFAESI 2002 · Osmania LLB (3 YDC) Sem V · the whole subject on one map · 45 stations from 305 past questions

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○ ◯ bigger station = asked more often in past papers ◯ ringed = interchange (dashed walkway links related topics) 🔥 = busiest stations codes (J3, P6…) = ticket numbers inside

How to ride

less reading, more seeing — this is the whole subject as a city you can travel

The journey: Money enters a regulated bank, a customer opens an account, writes instruments that travel by endorsement, the paying and collecting banks move the money — and when a loan goes bad, the bank uses its lien, its securities and the DRT.

🗺️ 1 · Look at the map

Each **line** is a unit, each **station** a keyword you must know. Stand back and see how the subject **connects** before reading a word.

🎫 2 · Read the tickets

One ticket per station: **meaning in one line**, the **section**, the **boss case** and a **memory hook**. That is a Part A answer in skeleton.

🔥 3 · Follow the crowd

Station size and the heat bar come from **past papers** (pink A · blue B · green C). Big stations = where examiners get off most.

🧭 4 · Take a route

Route maps solve the **Part C problems** that keep coming back: answer the question at each stop — **yes** exits to the answer, **no** rides on.

⇄ Interchanges — where topics meet

R4 Bailee & locker ⇄ L1 Banker's lien
no lien on safe-custody articles or locker contents

E4 Forgery & fraud ⇄ K4 Forged signature
forged endorsement v forged signature — opposite results

I6 Crossing ⇄ K6 Collecting banker
crossed cheques are collected through a bank — S.131

R6 Duty to honour ⇄ E8 Cheque bounce — S.138
bank's wrongful dishonour v drawer's S.138 crime

R2 Debtor & creditor ⇄ L2 Set-off
debtor–creditor balances can be set off

Busiest stations (past papers)

1	E2	**Endorsement** (NI S.15–16, 50)	22×
2	I5	**Drafts, warrants & TCs** (NI S.85A)	21×
3	E4	**Forgery & fraud** (NI S.58)	21×
4	R2	**Debtor & creditor** (Contract)	20×
5	I1	**Negotiable instrument** (NI S.13)	19×
6	I3	**Bill of exchange** (NI S.5)	16×
7	E1	**Holder & HDC** (NI S.8–9, 53)	15×
8	I6	**Crossing** (NI S.123–131)	14×
9	I2	**Promissory note** (NI S.4)	13×
10	L4	**Securities** (Contract S.172–176 · TPA S.58)	13×

Ride it on your phone

Tap any station on the interactive map at lawsticker-ai.com/nyaya-metro · Final Exam Packs, Story Notes & daily lessons on 🏹 **Eklavya** · ask **Vidura**, our free AI legal helper.

Heat = number of past questions (from our previous year question paper analysis) that mention the station's topic — a guide to what has been asked, not a prediction.

Banking Line

Unit I · 7 stations

46 past questions touch this line

U1 · Bank & banking — U2 · History & nationalisation — U3 · BR Act — features — U4 · Reserve Bank of India — U5 · Kinds of banks — U6 · Banking & IT — U7 · Licence, ombudsman, liqui

U1 Bank & banking

asked **10×** A5 · B5 · C0

Accepting public deposits for lending, repayable on demand, withdrawable by cheque.

BR Act S.5(b)

🧠 *Deposit in · loan out*

U2 History & nationalisation

asked **8×** A1 · B6 · C1

Indigenous bankers → Presidency banks → SBI → 14 banks nationalised (1969) + 6 (1980).

1969 · 1980 Acts

⚖️ **R.C. Cooper v Union of India (1970)**

🧠 *1969: 14 · 1980: 6*

U3 BR Act — features

asked **9×** A1 · B8 · C0

Licence, capital, CRR / SLR, management, control of advances, inspection, nomination.

BR Act 1949

🧠 *L-C-L-M-A-I-N*

U4 Reserve Bank of India

asked **6×** A3 · B2 · C1

Issues currency, banks for Govt and banks, lender of last resort, controls credit, regulates.

RBI Act 1934

🧠 *Notes · Govt · Banks · Credit · Rules*

U5 Kinds of banks

asked **7×** A7 · B0 · C0

Commercial, co-operative, development (NABARD, IDBI), mixed, group, universal, payments.

BR Act S.56 · NABARD Act

🧠 *Different banks, different jobs*

U6 Banking & IT

asked **2×** A0 · B2 · C0

Core banking, UPI, e-cheques and truncated cheques, valid under the IT Act.

IT Act 2000 · NI S.6

🧠 *Paper → plastic → phone*

U7 Licence, ombudsman, liquidity

asked **4×** A3 · B0 · C1

No banking without an RBI licence (appeal 30 days); RBI Ombudsman; liquidity ratios.

BR Act S.22, 35A

🧠 *No licence, no bank*

Relationship Line

Unit II · 8 stations

60 past questions touch this line

R1 · Who is a customer? — R2 · Debtor & creditor — R3 · Trustee & fiduciary — R4 · Bailee & locker — R5 · Agent — R6 · Duty to honour — R7 · Secrecy — R8 · Garnishee order

R1 · Who is a customer?

asked **5×** — A4 · B1 · C0

One who has an account and banking dealings — duration doesn't matter.

— (case law)

⚖️ **Great Western Rly v London & County Bank (1901)**

🧠 *Account makes the customer*

R2 · Debtor & creditor

asked **20×** — A2 · B15 · C3

Your deposit becomes the bank's money; it owes you on demand.

Contract

⚖️ **Foley v Hill (1848)** — banker is debtor, not trustee

⇄ **change for L2 · Set-off**

🧠 *Your money → bank's money*

R3 · Trustee & fiduciary

asked **8×** — A8 · B0 · C0

Money for a specific purpose is held in trust; the bank owes trust and confidence.

Trusts · fiduciary duty

⚖️ **Woods v Martins Bank (1959)** — liable for negligent advice

🧠 *Specific purpose = trust*

R4 · Bailee & locker

asked **8×** — A0 · B0 · C8

Safe custody makes the bank a bailee (care of a prudent man); a locker makes it a lessor.

Contract Act S.148–151

⚖️ **Amitabha Dasgupta v United Bank of India (2021)**

⇄ **change for L1 · Banker's lien**

🧠 *Safe custody = bailee · Locker = landlord*

R5 · Agent

asked **1×** — A1 · B0 · C0

Collecting cheques and following standing instructions, the bank is the customer's agent.

Contract Act S.182

🧠 *Collecting = agent*

R6 · Duty to honour

asked **10×** — A2 · B1 · C7

Funds available → must pay; wrongful dishonour → damages (trader more than non-trader).

NI S.31

⚖️ **Gibbons v Westminster Bank (1939)**

⇄ **change for E8 · Cheque bounce — S.138**

🧠 *Funds there → must pay*

R7 · Secrecy

asked **4×** — A0 · B2 · C2

Keep accounts secret — except law, public duty, bank's interest, consent.

Tournier rule

⚖️ **Tournier v National Provincial Bank (1924)**

🧠 *L-P-I-C*

R8 · Garnishee order

asked **4×** — A3 · B0 · C1

A court order freezing the judgment-debtor's money in his sole name.

O.XXI r.46 CPC

🧠 *Freeze only what is his alone*

I Instruments Line

Unit III-a · 8 stations

97 past questions touch this line

I1 · Negotiable instrument — I2 · Promissory note — I3 · Bill of exchange — I4 · Cheque & its kinds — I5 · Drafts, warrants & TCs — I6 · Crossing — I7 · Presumptions — I8 · Maturity & grace

I1 Negotiable instrument

asked **19×** A4 · B13 · C2

Note, bill or cheque, payable to order or bearer — passes like money; HDC gets clean title.

NI S.13

🧠 *Paper that travels like money*

I2 Promissory note

asked **13×** A5 · B0 · C8

Unconditional, signed promise to pay a certain sum to a certain person.

NI S.4

🧠 *I promise*

I3 Bill of exchange

asked **16×** A4 · B2 · C10

Unconditional, signed order to pay; three parties; acceptance.

NI S.5

🧠 *I order*

I4 Cheque & its kinds

asked **5×** A1 · B3 · C1

A bill on a banker, payable on demand — bearer, order, crossed, post-dated, stale, electronic.

NI S.6

🧠 *Bill on a bank, on demand*

I5 Drafts, warrants & TCs

asked **21×** A19 · B0 · C2

Banker's drafts, dividend warrants, traveller's cheques; money & postal orders are not NIs.

NI S.85A

🧠 *Bank pays bank*

I6 Crossing

asked **14×** A13 · B0 · C1

Two parallel lines — pay only through a bank; special, not negotiable, account payee.

NI S.123–131

⚖️ **Indian Overseas Bank v Industrial Chain Concern (1990)**

⇄ **change for K6 · Collecting banker**

🧠 *G-S-N-A*

I7 Presumptions

asked **3×** A0 · B3 · C0

Consideration, date, order of endorsements, HDC — all presumed till disproved.

NI S.118, 139

⚖️ **Rangappa v Sri Mohan (2010)** — S.139 covers the debt

🧠 *Consideration presumed*

I8 Maturity & grace

asked **6×** A1 · B0 · C5

3 days of grace for time instruments; holiday → preceding day; words beat figures.

NI S.18, 21–25

🧠 *+3 days grace · words win*

E Endorsement Line

Unit III-b · 8 stations

92 past questions touch this line

E1 · Holder & HDC | E2 · Endorsement | E3 · Conditional & partial | E4 · Forgery & fraud | E5 · Liability & discharge | E6 · Dishonour, noting, protest | E7 · Material alteration | E8 · Cheque bounce — S.138

E1 Holder & HDC

asked **15×** A3 · B1 · C11

Holder in due course: for value, before maturity, in good faith — gets a better title.

NI S.8–9, 53

🧠 *Value + faith + before due*

E2 Endorsement

asked **22×** A4 · B2 · C16

Signature for negotiation — blank (bearer) or full (to order); restrictive stops it.

NI S.15–16, 50

🧠 *Bearer by delivery · order by endorsement*

E3 Conditional & partial

asked **8×** A1 · B0 · C7

Conditional endorsement waits for the event; endorsement for part of the amount is invalid.

NI S.52, 56

🧠 *Condition waits · part fails*

E4 Forgery & fraud

asked **21×** A5 · B0 · C16

A forged endorsement passes no title; theft, fraud or duress don't hurt an HDC.

NI S.58

⇄ change for K4 · Forged signature

🧠 *Forgery kills title · fraud spares the HDC*

E5 Liability & discharge

asked **11×** A3 · B2 · C6

Maker / acceptor primary; drawer / endorsers on notice; discharge by payment, release, delay.

NI S.28–45, 82–90

🧠 *Primary: maker · Secondary: drawer, endorsers*

E6 Dishonour, noting, protest

asked **5×** A1 · B2 · C2

Not accepted or not paid → notice to all parties; notary notes and protests (foreign bills must).

NI S.91–104

🧠 *Notice or lose them*

E7 Material alteration

asked **3×** A0 · B1 · C2

An unauthorised material change voids the instrument against non-consenting parties.

NI S.87–89

⚖️ **Koch v Dicks (1933)** — place of drawing is material

🧠 *Change the deal, lose the party*

E8 Cheque bounce — S.138

asked **7×** A0 · B3 · C4

Notice in 30 days, 15 days to pay, complaint in 1 month; 20% interim compensation.

NI S.138–148

⚖️ **Dashrath Rupsingh Rathod v Maharashtra (2014)**

⇄ change for R6 · Duty to honour

🧠 *3 m · 30 · 15 · 1 m*

K Paying & Collecting Line

Unit IV · 6 stations

40 past questions touch this line

K1 · Paying banker — K2 · Payment in due course — K3 · Statutory protection — K4 · Forged signature — K5 · Countermand — K6 · Collecting banker

K1 Paying banker

Paying & Collecting Line

asked **7×** — A3 · B4 · C0

The drawee bank: checks form, date, signature, funds, crossing, stop orders before paying.

NI S.31

🧠 *Form · Date · Sign · Funds · Stops*

K2 Payment in due course

Paying & Collecting Line

asked **10×** — A4 · B0 · C6

As per apparent tenor, in good faith, without negligence, to the person in possession.

NI S.10

🧠 *Tenor · Faith · Care*

K3 Statutory protection

Paying & Collecting Line

asked **7×** — A0 · B7 · C0

Forged endorsement (S.85), drafts (85A), crossed cheques (128), invisible alteration (89).

NI S.85, 85A, 128, 89

🧠 *85 · 85A · 128 · 89*

K4 Forged signature

Paying & Collecting Line

asked **3×** — A0 · B0 · C3

No mandate, no protection — the bank bears the loss.

Contract / NI

⚖️ **Canara Bank v Canara Sales Corp (1987)**

⇄ **change for E4 · Forgery & fraud**

🧠 *Fake signature = bank pays*

K5 Countermand

Paying & Collecting Line

asked **4×** — A0 · B0 · C4

Stop payment binds the bank only when it actually receives it.

NI S.31

⚖️ **Curtice v London City & Midland Bank (1908)**

🧠 *Stop counts only when received*

K6 Collecting banker

Paying & Collecting Line

asked **9×** — A6 · B1 · C2

Collects for its customer; S.131 shields it if in good faith and without negligence.

NI S.131, 131A

⚖️ **Lloyds Bank v Savory (1933)** — negligence defeats protection

⇄ **change for I6 · Crossing**

🧠 *Know your customer — or pay*

L Lending & Recovery Line

Unit V · 8 stations

63 past questions touch this line

L1 · Banker's lien — L2 · Set-off — L3 · Lending principles — L4 · Securities — L5 · Guarantor — L6 · Bank guarantee — L7 · Letter of credit — L8 · DRT & SARFAESI

L1 Banker's lien

Lending & Recovery Line

asked **10×** — A5 · B2 · C3

Keeps the customer's securities for any balance due; can sell after notice; not safe custody.

Contract Act S.171

⚖️ **Brandao v Barnett (1846)** — lien is part of the law merchant

⇄ **change for R4 · Bailee & locker**

🧠 *Keep it till paid*

L2 Set-off

Lending & Recovery Line

asked **7×** — A6 · B0 · C1

Combine the same customer's accounts — same right, debt due and certain.

Law merchant

⚖️ **Garnett v McKewan (1872)**

⇄ **change for R2 · Debtor & creditor**

🧠 *Same right · due · certain*

L3 Lending principles

Lending & Recovery Line

asked **7×** — A3 · B3 · C1

Safety, liquidity, profitability, purpose, security, spread, national interest.

RBI norms

🧠 *Safety first*

L4 Securities

Lending & Recovery Line

asked **13×** — A6 · B1 · C6

Pledge goods, mortgage land, assign life policies, pledge shares, documents of title.

Contract S.172–176 · TPA S.58

🧠 *Goods: pledge · Land: mortgage · Policy: assign*

L5 Guarantor

Lending & Recovery Line

asked **2×** — A2 · B0 · C0

Surety pays if the debtor doesn't; liability co-extensive and immediate.

Contract S.126–147

⚖️ **Bank of Bihar v Damodar Prasad (1969)**

🧠 *Surety pays when debtor doesn't*

L6 Bank guarantee

Lending & Recovery Line

asked **8×** — A6 · B2 · C0

Bank's independent promise to pay on demand; courts stop it only for fraud or irretrievable harm.

Contract S.126 · URDG

⚖️ **U.P. State Sugar Corp v Sumac (1997)**

🧠 *Guarantee = cash on demand*

L7 Letter of credit

Lending & Recovery Line

asked **10×** — A6 · B4 · C0

Bank pays the seller against the right documents; strict compliance; UCP 600.

UCP 600

⚖️ **Equitable Trust Co v Dawson Partners (1927)**

🧠 *Right papers → payment*

L8 DRT & SARFAESI

Lending & Recovery Line

asked **6×** — A3 · B3 · C0

DRT decides bank claims of ₹20 lakh+; SARFAESI lets banks seize NPAs' security after 60-day notice.

RDB Act 1993 · SARFAESI 2002

⚖️ **Mardia Chemicals v Union of India (2004)**

🧠 *N-60-4-45*

Route maps — Part C

answer each stop · **get off** where the answer is · that is your Issue → Law → Apply → Decision

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Route 1 Does the holder get a good title?

Part C pattern · asked: 2014 · 2016 · 2017 · 2018 · Jan/Feb 2018 · 2021

1. **Is there a forged endorsement in the chain of an order instrument?** →
   YES → get off here
   No title passes through a forgery — the true owner recovers (nemo dat).

   NO ↓ ride on

2. **Did he take it for value, before maturity, in good faith?** →
   NO → get off here
   Only a holder — takes subject to defects; a gift-holder can't enforce against the drawer (S.43).

   YES ↓ ride on

3. **Does he claim from an HDC but was himself party to the fraud?** →
   YES → get off here
   No — S.53 protects only those not party to the fraud.

   NO ↓ ride on

■ **End of line: Good title as a holder in due course — even if it was lost, stolen or obtained by fraud earlier (S.9, 53, 58) ✓**

Route 2 Is the paying banker protected?

Part C pattern · asked: 2013 · 2014 · 2016 · 2022 · Nov 2022 · 2023

1. **Was the drawer's signature forged?** →
   YES → get off here
   No mandate, no protection — the bank bears the loss (Canara Bank).

   NO ↓ ride on

2. **Did a countermand or notice of death reach the bank before payment?** →
   YES → get off here
   Bank can't debit the customer (S.31; Curtice).

   NO ↓ ride on

3. **Was the payment in due course — apparent tenor, good faith, no negligence (S.10)?** →
   NO → get off here
   Protection lost — bank liable.

   YES ↓ ride on

■ **End of line: Protected: forged endorsement (S.85(1)), bearer (85(2)), draft (85A), crossing (128), invisible alteration (89) ✓**

Turn any route into a Part C answer

Issue
= the route's question, applied to the names in your problem.

Law
= the sections and cases at the stops you passed.

Apply
= your yes / no at each stop, with the facts that decide it.

Decision
= the station where you got off — say it clearly, with the remedy.

Route maps — Part C

answer each stop · **get off** where the answer is · that is your Issue → Law → Apply → Decision

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Route 3 Lien, set-off — or nothing?

Part C pattern · asked: 2014 · Dec 2015 · 2018 · 2019 · 2022 · 2023

1. **Was it given for safe custody, a locker, or a specific purpose / trust?** → **YES → get off here** — No lien — the bank is only bailee / lessor / trustee.
   NO ↓ ride on
2. **Is it money in another account of the same customer, in the same right?** → **YES → get off here** — Set-off (combine accounts) if the debt is due and certain.
   NO ↓ ride on
3. **Is the customer's debt actually due?** → **NO → get off here** — Wait — no lien for a contingent or future debt.
   YES ↓ ride on

■ **End of line: General lien (Contract Act S.171) — an implied pledge: may sell after reasonable notice ✓**

Route 4 Cheque bounced — can I prosecute?

Part C pattern · asked: 2013 · 2019 · 2020 · Nov 2022

1. **Was it given for a legally enforceable debt or liability?** → **NO → get off here** — No S.138 — e.g. a gift; the S.139 presumption is rebutted.
   YES ↓ ride on
2. **Presented within 3 months and returned for insufficient funds, exceeding arrangement, stop payment or closed account?** → **NO → get off here** — Not S.138 — e.g. bank failure: sue on the debt.
   YES ↓ ride on
3. **Notice sent within 30 days and still unpaid 15 days after receipt?** → **NO → get off here** — Send notice within 30 days of the return memo and wait 15 days first.
   YES ↓ ride on

■ **End of line: Complaint within 1 month before the JMFC where the payee's bank is (S.138, 142); seek 20% interim compensation (S.143A) ✓**

Turn any route into a Part C answer

Issue
= the route's question, applied to the names in your problem.

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= the station where you got off — say it clearly, with the remedy.

Route maps — Part C

answer each stop · **get off** where the answer is · that is your Issue → Law → Apply → Decision

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Route 5 The endorsement looks odd

Part C pattern · asked: 2016 · 2017 · 2018 · 2019 · 2020 · Feb 2021

1. **Is it for only part of the amount?** → **YES → get off here** Not a negotiation (S.56) — unless the rest was already paid.
   NO ↓ ride on
2. **Does it depend on an event ("if he returns from Paris")?** → **YES → get off here** Conditional (S.52): the endorsee can't claim until it happens.
   NO ↓ ride on
3. **Does it say "pay C only" or "for collection"?** → **YES → get off here** Restrictive (S.50): no further negotiation.
   NO ↓ ride on
4. **Blank first, then full, then passed without endorsement?** → **YES → get off here** S.55: the last holder can sue the drawer and the blank endorser, not the full endorser.
   NO ↓ ride on

■ **End of line: Valid negotiation — the endorsee becomes the holder (S.14–16, 50) ✓**

Route 6 Must the bank reveal or freeze the account?

Part C pattern · asked: Aug 2012 · 2014 · Dec 2015 · Jan/Feb 2018 · 2019

1. **Is there a court garnishee order?** → **YES → get off here** Freeze only the debtor's own-name balance — not joint, trust or estate accounts; set off own dues first.
   NO ↓ ride on
2. **Does a law demand it (Income-tax S.133(6), court order, PMLA)?** → **YES → get off here** Disclose only what is asked — compulsion of law (Tournier).
   NO ↓ ride on
3. **Public duty, the bank's own interest, or the customer's consent?** → **YES → get off here** Disclosure allowed (Tournier exceptions).
   NO ↓ ride on

■ **End of line: Keep it secret — wrongful disclosure is a breach of contract and privacy ×**

Turn any route into a Part C answer

Issue
= the route's question, applied to the names in your problem.

Law
= the sections and cases at the stops you passed.

Apply
= your yes / no at each stop, with the facts that decide it.

Decision
= the station where you got off — say it clearly, with the remedy.